

Monthly Variance Memo

Company	NovaCRM, Inc.
Period	February 2026
Prepared by	E-Solutions
Memo status	DRAFT — Pending finance QA review
Checkpoint	VR-2026-02-0047
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Executive Summary

NovaCRM delivered \$473,400 in revenue for February 2026, \$15,400 (3.36%) above budget, driven primarily by SaaS subscription outperformance and accelerating usage-based revenue. Total OpEx of \$352,400 ran \$9,900 (2.89%) over budget, with contractor spend, legal fees, and recruiting costs partially offsetting favorable variances in engineering salaries and paid advertising. Operating income of \$31,300 exceeded budget by \$1,300 (4.33%), though gross margin came in at 81.05% versus the budgeted 81.33% due to elevated third-party API costs.

3 items require leadership attention: 1. Engineering Contractors (6110) came in at \$18,500 against a \$12,000 budget — a \$6,500 (54.17%) unfavorable variance and a \$9,000 month-over-month increase. Combined with the \$6,000 favorable variance in Engineering Salaries, this pattern suggests headcount gaps are being filled with contractors at a higher blended cost; the offset is not dollar-for-dollar and the contractor run rate needs to be assessed before it compounds further. 2. Legal & Professional Fees (6310) reached \$11,200 against a \$6,000 budget, a \$5,200 (86.67%) unfavorable variance and nearly double the prior period spend of \$5,800. The nature of this engagement is not specified in the data [VERIFY: confirm whether this relates to financing activity, customer contracts, employment matters, or other legal work to assess recurrence and expected duration]. 3. Professional Services Revenue (4200) missed budget by \$6,500 (14.44%) and declined \$2,700 month-over-month. Two consecutive months of decline against a \$45,000 budget warrant a pipeline review to determine whether this reflects timing of project starts or a structural shortfall in services bookings.

Topline Performance

Metric	Actual	Budget	Var (\$)	Var (%)	Signal
Total Revenue	\$473,400	\$458,000	+\$15,400	+3.4%	Favorable
Total COGS	\$89,700	\$85,500	+\$4,200	+4.9%	Watch
Gross Profit	\$383,700	\$372,500	+\$11,200	+3.0%	Favorable
Gross Margin	81.0%	81.3%	-0.3 pts	—	On plan
Total OpEx	\$352,400	\$342,500	+\$9,900	+2.9%	Unfavorable
Operating Income	\$31,300	\$30,000	+\$1,300	+4.3%	Favorable

Revenue Variance Detail

SaaS Subscription Revenue: +\$17,800 vs. budget (+4.5%)

	Actual	Budget	Prior Mo.
SaaS Subscription Revenue	\$412,800	\$395,000	\$378,200

Drivers: - SaaS Subscription Revenue of \$412,800 exceeded budget by \$17,800 (4.51%) and grew \$34,600 (9.15%) from the prior period of \$378,200. This is the primary driver of the overall revenue beat and represents the largest favorable variance in the period.

Month-over-month growth of 9.15% is a meaningful acceleration; [VERIFY: confirm whether this reflects new logo additions, expansion revenue, or a combination to assess sustainability of the trend].

Professional Services Revenue: -\$6,500 vs. budget (-14.4%)

	Actual	Budget	Prior Mo.
Professional Services Revenue	\$38,500	\$45,000	\$41,200

Drivers: - Professional Services Revenue of \$38,500 missed budget by \$6,500 (14.44%) and declined \$2,700 (6.55%) from the prior period of \$41,200. This is the only material unfavorable revenue variance in the period.

Two consecutive months of decline against a \$45,000 budget [VERIFY: confirm whether open services engagements are delayed, cancelled, or simply not yet booked to determine if this is a timing or pipeline issue].

Action required: VP of Services or equivalent should provide a current services pipeline and backlog report to assess whether the \$45,000 monthly budget remains achievable.

Usage-Based Revenue: +\$4,100 vs. budget (+22.8%)

	Actual	Budget	Prior Mo.
Usage-Based Revenue	\$22,100	\$18,000	\$16,800

Drivers: - Usage-Based Revenue of \$22,100 exceeded budget by \$4,100 (22.78%) and grew \$5,300 (31.55%) from the prior period of \$16,800, the strongest percentage growth of any revenue line this period.

[VERIFY: confirm whether usage growth is concentrated in a small number of accounts or broad-based, as concentration would represent a dependency risk despite the favorable variance].

Expense Variance Detail

COGS: +\$4,200 vs. budget (+4.9%)

Line Item	Actual	Budget	Var (\$)	Var (%)	Recurring?
Cloud Infrastructure (AWS)	\$52,300	\$48,000	+\$4,300	+9.0%	—
Third-Party API Costs	\$8,900	\$7,500	+\$1,400	+18.7%	Yes
Customer Support Team	\$28,500	\$30,000	-\$1,500	-5.0%	—

- **Third-Party API Costs:** Third-Party API Costs of \$8,900 exceeded budget by \$1,400 (18.67%) and increased \$1,700 (23.61%) from the prior period of \$7,200. The trend directionally tracks the 31.55% month-over-month growth in Usage-Based Revenue, suggesting volume-driven cost increases.

Total COGS of \$89,700 exceeded budget by \$4,200 (4.91%) and grew \$6,900 (8.33%) month-over-month, driven primarily by Third-Party API Costs running \$1,400 over budget. Gross margin of 81.05% was 28 basis points below the budgeted 81.33%, a modest compression attributable to COGS growing slightly faster than revenue.

Operating Expenses: +\$9,900 vs. budget (+2.9%)**Favorable:**

Line Item	Actual	Budget	Var (\$)	Var (%)
Engineering Salaries	\$142,000	\$148,000	-\$6,000	-4.0%
Paid Advertising	\$15,200	\$20,000	-\$4,800	-24.0%

- **Engineering Salaries:** Engineering Salaries of \$142,000 came in \$6,000 (4.05%) under budget and were flat versus the prior period of \$142,000, indicating open headcount relative to plan.
- **Paid Advertising:** Paid Advertising of \$15,200 came in \$4,800 (24.0%) under budget and declined \$3,500 (18.72%) from the prior period of \$18,700. This is the largest favorable OpEx variance in the period.

Unfavorable:

Line Item	Actual	Budget	Var (\$)	Var (%)	Recurring?
Engineering Contractors	\$18,500	\$12,000	+\$6,500	+54.2%	TBD
Events & Sponsorships	\$4,800	\$3,000	+\$1,800	+60.0%	Partially
Legal & Professional Fees	\$11,200	\$6,000	+\$5,200	+86.7%	TBD
Travel & Entertainment	\$6,700	\$5,000	+\$1,700	+34.0%	Partially
Recruiting & Hiring	\$8,400	\$4,000	+\$4,400	+110.0%	Partially

- **Engineering Contractors (+\$6,500):** Engineering Contractors of \$18,500 exceeded budget by \$6,500 (54.17%) and nearly doubled from the prior period of \$9,500, a \$9,000 (94.74%) month-over-month increase. The favorable salary variance of \$6,000 offsets only part of this overage, resulting in a net engineering cost overrun of approximately \$500.
- **Events & Sponsorships (+\$1,800):** Events & Sponsorships of \$4,800 exceeded budget by \$1,800 (60.0%) and increased \$3,600 from the prior period of \$1,200, a 300.0% month-over-month increase.
- **Legal & Professional Fees (+\$5,200):** Legal & Professional Fees of \$11,200 exceeded budget by \$5,200 (86.67%) and nearly doubled from the prior period of \$5,800, a \$5,400 (93.1%) month-over-month increase.
- **Travel & Entertainment (+\$1,700):** Travel & Entertainment of \$6,700 exceeded budget by \$1,700 (34.0%) and increased \$2,800 (71.79%) from the prior period of \$3,900.
- **Recruiting & Hiring (+\$4,400):** Recruiting & Hiring of \$8,400 exceeded budget by \$4,400 (110.0%) and increased \$6,300 (300.0%) from the prior period of \$2,100, consistent with active hiring activity likely tied to open engineering and other roles.

Total OpEx of \$352,400 ran \$9,900 (2.89%) over budget; favorable variances in Engineering Salaries (\$6,000) and Paid Advertising (\$4,800) were more than offset by overages in Engineering Contractors (\$6,500), Legal & Professional Fees (\$5,200), Recruiting & Hiring (\$4,400), Events & Sponsorships (\$1,800), and Travel & Entertainment (\$1,700). The net overrun is concentrated in three areas — contractor backfill, legal activity, and recruiting — each of which requires a near-term disposition on recurrence.

Risks and Watchouts

#	Risk	Exposure	Trigger
1	Engineering contractor spend continues to escalate if open FTE roles remain unfilled, converting a timing variance into a structural cost overrun.	\$6,500 per month above budget at current run rate; annualized exposure of \$78,000 if not resolved	Open engineering requisitions remain unfilled beyond March, sustaining or increasing contractor utilization
2	Legal & Professional Fees represent an uncharacterized engagement running at nearly double budget; if the underlying matter extends into Q2, cumulative overage could be material.	\$5,200 above budget in February alone; full exposure unknown pending confirmation of engagement scope	Legal matter extends beyond February without a defined resolution timeline
3	Professional Services Revenue continues to decline, creating a growing gap against the \$45,000 monthly budget if the pipeline does not recover.	\$6,500 monthly shortfall at current run rate; two consecutive months of decline	No new services engagements close in March, confirming a pipeline rather than timing issue

Recommended Actions

#	Action	Owner	By
1	Provide a written disposition on Engineering Contractors: identify open FTE roles being backfilled, expected hire dates, and projected contractor spend through Q2. Revise the 6110 budget line if contractor usage will persist beyond one additional month.	VP Engineering / People Ops	2026-03-15
2	Confirm the nature, scope, and expected total cost of the Legal & Professional Fees engagement driving the \$5,200 February overrun. Update the 6310 budget line for the remainder of the engagement.	CFO	2026-03-10
3	Present a Professional Services pipeline and backlog report covering open opportunities, expected close dates, and projected March revenue to assess whether the \$45,000 monthly budget is achievable.	VP Services / VP Sales	2026-03-10
4	Confirm whether the Paid Advertising underspend of \$4,800 reflects a deliberate pacing decision or delayed campaigns, and provide a revised Q1 spend plan for the 6210 line.	VP Marketing	2026-03-15

Data Provenance and Audit Trail

This section documents the inputs, processing, and review chain for this memo.

Item	Detail
Source system	QuickBooks Online
GL export date	2026-03-04
Budget source	Board-approved 2026 annual budget, v2.1
Prior period	VR-2026-01-0031
COA template	coa-template-novaCRM, v1.2 (hash: a3f8c1d...)
Schema validation	Pass — 18/18 line items, 0 errors, 0 warnings
Injection scan	Pass — no adversarial patterns detected
Analysis checkpoint	VR-2026-02-0047
Analysis engine	E-Solutions variance engine v0.1
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QA reviewer	Matt (provisional)
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Approval status	Not yet approved

How to read this section

- **Checkpoint ID** (VR-2026-02-0047) ties this memo to the exact source data, validation results, and analysis run. It can reproduce this memo at any time.
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- **Review status** tracks where this memo is in the approval workflow. No memo is delivered until it reaches "Approved" status and a reviewer has signed off.

Memo status: DRAFT — Pending finance QA review — This memo has not been reviewed or approved for delivery. Final delivery is subject to finance QA review and customer approval via the E-Solutions portal.